

Week 46 Deep Research -- Full Report

Date: Sunday, July 26, 2026

Week: 46

1. RESTATED RULES

- Long-only, full shares, no options/margin/shorting. U.S.-listed common stock $\leq$ \$2B market cap; existing names above \$2B may be held or sold but no new shares added.
- Cash floor 15% of equity (\$107.40 today); no new capital. Track to the cent.
- Sizing: risk $\leq$ 5% of equity per trade; $\leq$ 30% per name; binary-event plays max 1 at $\leq$ 15%.
- Momentum plays (screener-sourced) must be above the 20-day SMA at entry; $\leq$ 20% above the 20-day SMA and $\leq$ 40% above the 50-day; 5-day minimum hold. Catalyst plays need a dated catalyst within 60 days.
- Entry discipline (.claude/rules/entry-discipline.md): no buys in days 1-3 of a $>$ +10% breakout; screener score is sourcing (2/5 floor), not conviction; post-earnings cooldown.
- Partial profits: +30% / +60%; deferral needs a new catalyst, conviction $\geq$ 4/5, and a trailing stop locking $\geq$ 15% (at +30%) / $\geq$ 40% (at +60%).
- Price integrity (.claude/rules/price-data-integrity.md): settled closes from the daily run; live/AH/pre-market only via the browser tool with a timestamp; order-side check before naming any stop/limit.
- Sector cap $\leq$ 2 per GICS sector; regime filter (IWM vs 50-day SMA); one open order per stock; 10-day re-entry ban (PHAT clears ~7/27; HTLD not banned but thesis-dead).

2. RESEARCH SCOPE

Data retrieved: 2026-07-26 ~22:50 ET. Holdings/closes as of Friday 2026-07-24 (settled, yfinance via the daily run). Screener regenerated 2026-07-26 -- clean run, corruption fix holding (sensible sectors/caps, no ::: artifacts). WebSearch used only for catalysts/fundamentals/dates, never for live prices.

Live sources (WebSearch, 2026-07-26):

- Candidates: ORIC (Yahoo/StockTitan/MarketBeat -- Himalayas-1 Phase 3 + Bayer, PT \$19-21), ARDT (Simply Wall St/MarketBeat -- profitable, FY EPS \$0.90-1.27), CERT (StockTitan/Simply Wall St -- deteriorating guide, ?58% YoY), LXU (Motley Fool/StockTitan/Simply Wall St -- nitrogen tailwind, Q1 NI \$19.7M), HTLD (FreightWaves/Nasdaq -- Q2 miss confirmed).
- Holdings: ATRC + WKC prints resolved (SEC 8-Ks + Markets Daily, verified 7/23); browser tool used 7/23 for live AH quotes (ATRC \$31.47, WKC \$38.60).

Checks: regime, universe ceiling (WKC now at \$2.0B -- hold-only), excluded classes, liquidity (screener \$500K ADV floor), sector map, entry-discipline distance/breakout tests, cash floor, partial-profit thresholds.

3. CURRENT PORTFOLIO ASSESSMENT

Ticker	Role	Entry Date	Avg Cost	Current Price	Current Stop	Conviction (1-5)	Status
WKC	Energy -- runner (at \$2B cap)	2026-05	\$26.00	\$38.14 (+46.7%)	\$35.00 / \$34.85	4/5	KEEP -- 72% EPS beat; raise stop;

+60% partial
at \$41.60

SHO	Real Estate -- quality REIT	2026-06	\$10.20	\$11.74 (+15.1%)	\$10.90 / \$10.80	3/5	KEEP -- earnings 8/6; \$12 stop-raise trigger
TDAY	Comm. Services -- AI-licensing	2026-06	\$8.15	\$8.40 (+3.1%)	\$7.55 / \$7.45	4/5	KEEP -- earnings 7/30
TILE	Cons. Disc. -- beat-and-rai	2026-06	\$32.10	\$32.98 (+2.7%)	\$31.00 / \$30.85	4/5	KEEP -- earnings 7/31
ATRC	Health Care -- post-catalyst	2026-07-13	\$34.30	\$35.04 (+2.2%)	\$30.50 / \$30.30	4/5 ?	KEEP -- beat-and-rai e held; retire override, raise stop

Equity: \$716.01 · Cash: \$177.29 (24.8%) · Gap (scoreboard): ?3.8% (\$716.01 vs \$743.93 S&P-equivalent) · TWR alpha (process): +1.48% -- recovery high.

4. CANDIDATE SET

Ticker	One-Line Thesis	Key Catalyst	Catalyst Confirmation Status	Liquidity Note
LXU	LSB Industries -- nitrogen/fertilizer cyclical; Q2 adj. EBITDA guided "meaningfu	Q2 earnings ~early Aug; sustained nitrogen pricing into 2027	CONFIRMED (Motley Fool transcript + StockTitan)	\$881M cap [OK]; screener vol ratio 1.33; passed \$500K ADV floor
ORIC	ORIC Pharma -- mCRPC + EGFRex20 oncology; Bayer collab; PT \$19-21 (+70%)	Himalayas-1 Phase 3 initiated; data "2H 2026" (vague)	CONFIRMED but forward catalyst undated	\$1.2B [OK]; +16%/5d vertical move
ARDT	Ardent Health -- profitable hospital operator; FY EPS \$0.90-1.27	Q2 earnings ~mid-Aug	Confirmed (approx. date)	\$1.5B [OK]; rank 1; calm base (+9%/20d)

Evaluated & not selected (one line each):

- ORIC (#3) -- best upside on the board, but +16% in 5 days is a vertical spike; entry-discipline + the fresh PHAT day-1 stop-out say don't chase heat. Queued #1 on a consolidation/higher-low base.
- ARDT (#1) -- quality and cleanly-based, but it's a second Health Care name (ATRC holds the first) and a low-beta hospital operator -- weakest fit for an aggressive, widen-the-lead mandate. Queued #2 (the defensive alternative).
- AVNS (#2) -- BB-width 0.012 squeeze but zero momentum (+0.2%/20d); no catalyst in window.
- KREF (#4) -- mortgage REIT; would sit alongside SHO in Real Estate and adds credit-cycle risk for little torque.
- FTRE (#5, HC) -- Fortrea CRO turnaround near \$1.9B cap; HC-slot contention behind ORIC/ARDT and no near dated catalyst.
- CFFN (#6) -- sleepy thrift, +2%/20d; no catalyst.

- AZTA (#7, HC) -- HC-slot contention; modest setup.
- WKC (#9) -- already held; at the \$2B cap, so no new shares regardless.
- BLFS (#10, HC) -- the old Week-43 queue name; only +4.6%/20d now and HC-slot contention -- superseded.
- CERT (#11) -- momentum is a dead-cat bounce: ?58% YoY, guidance cut to a loss, CFO resigned. Value trap; pass.
- ARLO (#12) -- the Week-34 disaster name; below-average confidence flag, no catalyst; hard pass.
- PAYS / ELME / HNST (#13-15) -- sub-scale or catalyst-free; pass.

Net: initiate LXU (the diversifying materials cyclical); queue ORIC (torque, on consolidation) and ARDT (quality) behind it.

5. PORTFOLIO ACTIONS

- Keep: SHO, TDAY, TILE -- unchanged; catalysts 8/6, 7/30, 7/31 respectively.
 - Keep + raise stop: WKC -> \$36.40 / \$36.25 (locks +40.0%). The 72% EPS beat and ~20% guidance raise justify riding the runner, but it trades well above the \$28.75 analyst consensus and now sits at the \$2B universe cap, so protection tightens. This stop also makes the +60% partial (\$41.60) deferrable (trailing lock $\geq 40\%$ + conviction 4/5) if it gets there.
 - Keep + re-rate + raise stop: ATRC -> \$32.50 / \$32.35, conviction 3/5 -> 4/5. The beat-and-raise (revenue beat, first profitable quarter, FY EPS guide roughly doubled to \$0.24-0.32) held through the AH selloff and closed +6.2% / above entry. Per the post-catalyst rule the \$30.50 binary override is retired; \$32.50 locks the worst case at ?5.2% (from ?11%) while leaving room for post-print volatility (AH ranged \$31.47-\$35.59).
 - Initiate: LXU -- 5 shares (~\$61, ~8.6% of equity) -- diversifying Basic Materials cyclical with a nitrogen-price tailwind and CCS optionality; the 15% cash floor caps the size, not conviction.
 - Trim / Exit: none.
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6. EXACT ORDERS

Order 1 -- Raise WKC stop

- Action: modify stop (GTC stop-limit) · Ticker: WKC · Shares: 1
- Stop Loss: \$36.40 -- locks +40.0%; ~4.6% below the \$38.14 close, above the pre-breakout base
- Stop Limit: \$36.25
- Order-side check: \$36.40 < \$38.14 settled close [OK]
- Special: whipsaw risk acknowledged (?1.3xATR below close) -- this is a deliberate protect-the-runner choice on a 1-share position at the universe cap. Looser alternative \$35.80 (+37.7%) if you prefer retest room.
- Rationale: bank the outsized gain and unlock partial-deferral optionality into any push toward \$41.60.

Order 2 -- Raise ATRC stop (retire binary override)

- Action: modify stop (GTC stop-limit) · Ticker: ATRC · Shares: 3
- Stop Loss: \$32.50 -- post-catalyst reset; ~7.2% below the \$35.04 close (slightly looser than the ~\$33.24 trailing-formula level, to absorb post-print volatility)
- Stop Limit: \$32.35
- Order-side check: \$32.50 < \$35.04 settled close [OK]
- Rationale: event resolved favorably; tighten from the override while respecting AH volatility.

Order 3 -- Initiate LXU

- Action: buy · Ticker: LXU · Shares: 5
- Order Type: limit · Limit Price: \$12.35 (? Friday close \$12.24 + small buffer)
- Time in Force: DAY · Intended Execution: 2026-07-27 (Monday)
- Stop Loss: \$11.00 -- ~10% below entry (wider of 1.5xATR / 10%, momentum-play default)
- Stop Limit: \$10.90
- Special: pre-open verification -- check Monday pre-market via the browser tool; if LXU gaps >2% below \$12.24, drop the limit to the pre-market price or pass. 5-day minimum hold applies.

- Order-side check: stop \$11.00 < intended entry \$12.35 [OK]
- Rationale: nitrogen-price cyclical with a confirmed EBITDA inflection and CCS optionality; diversifies into a fresh sector at <=1% equity risk.

7. RISK AND LIQUIDITY CHECKS

Post-trade (assuming LXU fills at \$12.35):

Holding	Value	% of Equity
WKC	\$38.14	5.3%
SHO	\$129.14	18.0%
TDAY	\$134.40	18.8%
TILE	\$131.92	18.4%
ATRC	\$105.12	14.7%
LXU	\$61.75	8.6%
Cash	\$115.54	16.1%

- No position >30% [OK] · Cash 16.1% > 15% floor [OK] (floor is the binding constraint on deployment size)
- Sectors: Energy, Real Estate, Comm. Services, Cons. Disc., Health Care, Basic Materials -- all <=1 per sector [OK]
- Binary-event plays: 0 (ATRC's resolved) [OK]
- LXU order \$61.75 is a negligible fraction of its daily dollar volume (screener-confirmed >\$500K ADV) -- no slippage concern [OK]
- LXU stop-risk: $5 \times (\$12.35 - \$11.00) = \$6.75 \approx 0.94\%$ of equity [OK]
- Aggregate stop-risk if all six stops fired: $\approx 24.0\%$ of equity.

8. MONITORING PLAN

- TDAY -- Thu 7/30 earnings: the next print. Citizens PT \$10; a beat + close >\$8.86 re-arms the stop-raise. Pre-print check in Wednesday's daily.
- TILE -- Fri 7/31 earnings: Strong Buy, PT \$36-37; trail above \$36 on a beat.
- WKC: price alert at \$41.60 (+60% partial). At 1 share this is an exit-or-hold decision, not a divisible partial -- decide before it triggers; my lean is defer-and-trail (guidance just raised) given the \$36.40 stop now locks +40%.
- ATRC: post-print drift; the \$32.50 stop is the line. Watch AtriClip-vs-Edwards share commentary in sell-side notes.
- LXU: confirm Monday pre-market before entry; then watch the Q2 date announcement and nitrogen spot pricing. Honor the 5-day min hold.
- SHO: raise stop toward ~\$11.10 on a push through \$12 (1.7% away); earnings 8/6.
- ORIC / ARDT: consolidation watch for a Week-47 entry if a slot opens or cash builds.
- Regime: IWM \$291.17 vs 50-day ~\$290.80 -- cushion back to a razor-thin ~0.1%. A close below \$290.80 freezes new momentum initiations; LXU should be entered Monday before any such freeze, or re-evaluated if IWM gaps down.

9. THESIS REVIEW SUMMARY

(Saved separately as Week 46 Summary.md.)

WKC -- KEEP | 4/5. The near-stop-out that became the book's champion: a 72% EPS beat and ~20% guidance raise took it to a 52-week high (+46.7%). Now at the \$2B cap (hold-only) and far above consensus, so the stop climbs to \$36.40 (+40% locked), which also makes the \$41.60 partial deferrable. Ride it on a tight leash.

SHO -- KEEP | 3/5. +15.1%, grinding toward the \$12 stop-raise trigger; earnings 8/6. The \$10.90 stop manages the tail.

TDAY -- KEEP | 4/5. Book leader into its 7/30 print; Citizens PT \$10. Stop \$7.55; next raise on a close >\$8.86.

TILE -- KEEP | 4/5. Beat-and-raise breakout into 7/31; stop \$31.00 keeps it loss-free.

ATRC -- KEEP | 4/5 ?. The thesis printed: revenue beat, first profitable quarter, FY EPS guide roughly doubled -- and it held through an after-hours head-fake that briefly showed ?4.6% before closing +6.2%. That AH quote (which a stale search snippet nearly turned into a bad stop) is exactly why price integrity now runs through the browser tool. Override retired, stop up to \$32.50, conviction to 4/5.

LXU -- INITIATE | 3/5 (momentum + macro). LSB Industries brings a nitrogen-price tailwind (supply disruption sustaining pricing into 2027), a guided Q2 EBITDA inflection, CCS optionality, and -- the tiebreaker -- a sixth sector, keeping the book diversified rather than doubling into healthcare. Entered on a calm base (+12.7%/20d, not vertical), 10% stop, ~0.9% equity risk.

Overall portfolio thesis. Scoreboard: gap ?3.8%, the best of the recovery; process check: TWR alpha +1.48%, a new high. The catalyst gauntlet the last three weeks were built around is through, and it broke our way -- WKC to a 52-week high, ATRC's profitability inflection confirmed and held, zero stops fired. Per the Aggressive directive this is a deploy week, but two facts discipline the aggression: the 15% cash floor leaves only ~\$70 of true dry powder, and the screener's hottest names are either binary biotech (ORIC) or value traps (CERT). So the one initiation is the quality-torque compromise -- LXU's real-earnings cyclical over ORIC's vertical biotech chase, with ORIC queued for a consolidation entry. Two winners get tighter stops; the book goes to the full 6 positions across 6 sectors. Eight weeks left: the lead is nearly even and the process is finally ahead -- now compound it on a full-sized base without giving back the catalyst gains.

10. CONFIRM CASH AND CONSTRAINTS

- Starting cash: \$177.29 · LXU buy: ?\$61.75 -> Ending cash: \$115.54 (16.1%) -- above the 15% floor [OK]
- Positions: 6 of max 6 [OK] · Sectors: all <=1 (no cap breach) [OK] · Binary plays: 0 [OK] · Largest position: TDAY 18.8% < 30% [OK]
- Regime: GREEN but razor-thin (IWM \$291.17 > 50-day ~\$290.80 by ~0.1%) -- flagged; enter LXU Monday before any freeze [OK]
- Universe: WKC at \$2.0B logged as hold-only (no adds) [OK] · Re-entry: PHAT clears ~7/27; HTLD thesis-dead (confirmed Q2 miss) [OK]
- Price integrity: all order levels order-side-checked against Friday's settled closes [OK]
- Note: orders are recommendations -- they become portfolio reality only after broker execution with actual fills, which I then log. Report Monday's LXU fill and confirm the two stop raises.

Week 46 Full report generated 2026-07-26 by Claude Code (Aggressive posture). Closes as of 2026-07-24; catalysts verified 2026-07-26 via WebSearch; live prices via browser tool per price-data-integrity.md.